

World in Brief: China pushes back at America on Iran; Treasury yields climb



Photograph: Reuters

China warned that America's threat of "economic warfare" against Iran and its trading partners would not work. A spokesman called for diplomatic solutions after America's treasury secretary, Scott Bessent, said that **China**, which buys more than 80% of Iran's exported oil, needed to "get with the programme". The argument comes at a delicate time: Xi Jinping, China's president, is due to visit Washington next month.

Meanwhile, Mr Bessent's attempt to tame **America's bond market** faltered. Yields on 30-year Treasuries rose yesterday, reversing some of the decline that followed the treasury secretary's announcement on Wednesday of **larger debt buybacks** in future. "Anything that happens within a 24-hour period is noise," Mr Bessent said in response. He also hinted that there could be further interventions. Investors remain concerned about inflation and government debt, which this week exceeded \$40trn for the first time.

Samsung Electronics, a South Korean **chipmaker**, announced a package of dividends and share buybacks worth up to 110trn won (\$79bn). The move is designed to share its enormous gains from the AI boom with investors, who are concerned that vast capital

spending by chipmakers will not pay off. On Wednesday SK Hynix, a rival, announced a share buyback worth 40trn won.

Volodymyr Zelensky said a failure by the country's allies to replenish its stock of air-defence missiles, especially Patriot interceptors, was costing lives. The Ukrainian president's comments came as [Russian airstrikes](#) killed at least 17 people in Kyiv. Ursula von der Leyen, president of the European Commission, said she was working with EU member states to provide anti-ballistic capabilities as "the most urgent of priorities".

British retail-sales figures for July suggest that the elation of the World Cup has worn off. In June the total volume of goods sold increased by 0.7% as Britons [enjoyed the warm weather](#) and the football. In July sales decreased by 0.5%, the first drop since April. Despite that, consumer confidence improved between July and August according to a barometer released by gfk, a market-research firm.

Imran Khan, Pakistan's former prime minister, has returned to his prison cell after being taken to hospital. On Tuesday the Supreme Court ordered that he be examined after complaints about his health. The cricketer-turned-politico was deemed "medically fit". Mr Khan is serving a 14-year prison sentence on a trumped-up corruption charge. Behind bars, his popularity has [soared](#).

The **Panama Canal** Authority said that it would limit the number of ships transiting the waterway in September. This year's [especially harsh](#) El Niño has caused a lack of rainfall, leading to lower water levels. Currently 36 ships pass through the canal, which accounts for 3% of global maritime trade, per day. That number will gradually be reduced from September 3rd, reaching 32 ships by September 15th.

Figure of the day: 2%, the share of global chocolate eaten in China. Now local chocolatiers are raising the bar. [Will China ever](#)

learn to love chocolate?

US in brief: the USS Abraham Lincoln relieved



Photograph: U.S. Navy photo

The ***USS Abraham Lincoln*** left the Middle East, relieved by the ***USS George Washington***. The returning aircraft-carrier has been at sea for more than 250 days without a rest-and-recreation port call. It has made news for poor conditions and sailors' declining mental health, issues that were downplayed by Donald Trump. Relatedly, the publisher of *Stars and Stripes*, a military newspaper that reported many of those stories (and receives funding from the government), announced that he would step down, saying his "understanding of the value and mission of *Stars and Stripes*" differed from the Pentagon's.

The Cook Political Report, a much-watched prognosticator, moved the **Senate** races in **Iowa** and **Texas** from "Lean Republican" to "Toss-Up" in its forecasts. Both seats are open, having been held by Republicans. The Democrats need to hold onto all their seats and win at least four from the Republicans to take control of the chamber in November's midterms.

Michael Cohen released part of a softball interview with Mr Trump that will air in full on Sunday. The president's former lawyer and fixer had become a vicious critic, testifying in the hush-money trial that resulted in the first-ever felony conviction for a president. Mr Cohen has since changed his tune; at the end of his

interview he played a clip from Peaches & Herb singing “reunited and it feels so good”. Mr Trump told him “You’re going to go down as a man of courage.”

Investigators seized a laptop and a mobile phone from the home of **Eric Swalwell**, a Democratic former congressman from California. Several women have accused him of sexual misconduct, which he denies. Mr Swalwell was a high-profile critic of Mr Trump and ran for governor, before dropping out of the race and then resigning from Congress in April as a result of the accusations.

UN Secretary-General poll cuts the chaff



Photograph: Reuters

The UN Security Council holds a second non-binding poll on Friday to measure support for the seven candidates running to replace António Guterres as secretary-general at the end of the year. They market themselves as pragmatic dealmakers who can navigate great-power competition. The frontrunner is Rebeca Grynspan, a former vice-president of Costa Rica; close behind are Carolyn Rodrigues-Birkett and Rafael Grossi, two high-ranking diplomats. By revealing voting intentions, Friday's poll will narrow the field.

The candidates face a dilemma. Most countries want a leader who will speak up for the UN's founding charter, which prohibits wars of aggression and crimes against humanity. But the security council's permanent five members—America, China, Russia, Britain and France—each hold a veto over a candidate's selection, and may indicate in this ballot whether they will exercise it or not. The world is now [run by bullies](#). The Trump administration, Vladimir Putin's Russia and China may not tolerate condemnation of their actions.

Japan comes under more pressure to lift interest rates



Photograph: Getty Images

Japan's annual core inflation (which excludes fresh food) rose to 1.8% in July from 1.6% in June, partly because of the Iran war and higher import costs caused by the weak yen. The overall annual inflation rate was 1.9%. That is below the Bank of Japan's 2% target, but rising living costs are hurting the prime minister, Takaichi Sanae. According to a poll in July by *Yomiuri*, a national daily, 71% of Japanese are unhappy with the government's handling of inflation. Most analysts expect an interest-rate raise when the central bank meets in September.

Though it would increase Japan's enormous debt pile, that would help fix a more urgent problem than inflation: downward pressure on the yen. America and Japan [recently intervened](#) to strengthen the currency slightly, but low interest rates continue to weaken it. Scott Bessent, America's treasury secretary, has implicitly urged the BOJ to raise rates. He believes the bank will "do what is best".

Why English football is in league of its own

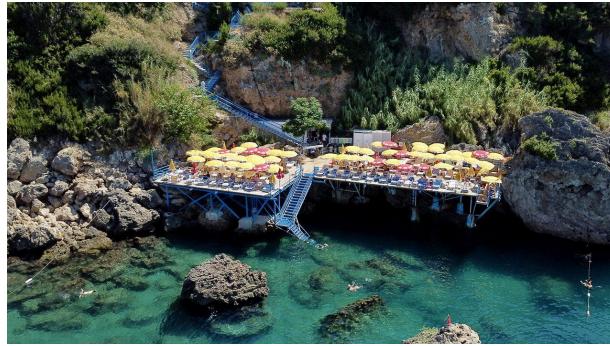


Photograph: Getty Images

The English Premier League, one of the world's most-watched sport competitions, returns on Friday after a three-month break. In that time its 20 teams have spent more than £2bn (\$2.7bn) on players. Nine appointed a new manager. Last week the sale of a 40% stake in Liverpool to a consortium including Jeff Bezos, Amazon's founder, valued the club at around £5bn.

All the cash speaks to [the league's dynamism](#). Its £6.8bn in revenue in the 2024-25 season trounces rival leagues on the continent, such as Germany's Bundesliga (£3.6bn). Exports, imports and competition explain its success. The Premier League built a global fanbase with international broadcasts before anyone realised there was a strong market for live football. It attracts some of the best coaches and players (15 clubs have non-English coaches). And with talent and money spread more evenly than in many other leagues, a competitive buzz sets it apart. Perhaps lethargic British industries could learn something.

The rising price of paradise



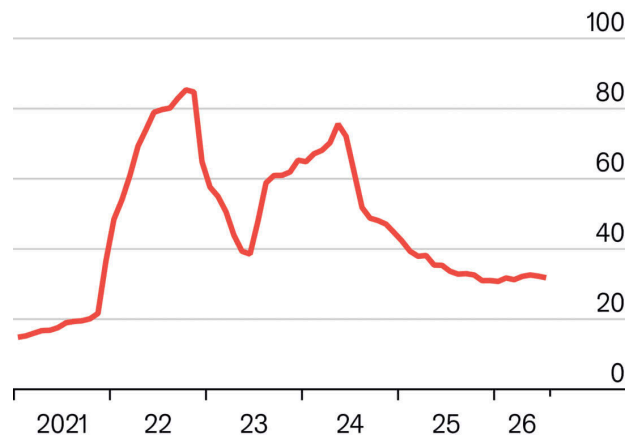
Photograph: Getty Images

Turkey's pitch to travellers was simple: enjoy sun-kissed beaches, classical ruins and good food at lower prices than at many other European destinations. Then geopolitics got in the way. The [war with Iran](#) has kept travellers away from the eastern Mediterranean. Disrupted air routes and higher fuel costs have made it more expensive to get there. The data show that foreign arrivals in Turkey fell by 4% in June compared with the same month last year. July's figures, published on Friday, will reveal whether the slump has continued.

Tourists who shell out for the journey are met with high local prices, the consequence of years of double-digit inflation. Some resorts are cutting rates to fill rooms before the end of summer. But holding prices down is difficult, especially for smaller operators because their costs have soared. In a country where tourism and related businesses account for around 12% of GDP, the sector's troubles risk a big problem for the economy. The industry could do with sunnier news.

Paradise cost

Turkey, consumer prices,
% increase on a year earlier



Source: Haver Analytics

Fava beans and a nice andante



Photograph: Getty Images

Hannibal Lecter loved classical music. He thought the “Goldberg Variations” by Johann Sebastian Bach good mood music for committing murder. Sir Anthony Hopkins, who played the cultivated cannibal on film, is also a composer. On Friday Decca, a record label, releases his second album, “Life is a Dream”. The Philharmonia Orchestra of London, conducted by Gustavo Dudamel, performs the music.

Sir Anthony, who has been writing music since he was a teenager, finds it a more “freewheeling kind of art form” than acting. His will not put you in mind of the grisly gourmet. Several pieces are inspired by fondness for his childhood and his family. “Bracken Road”, a movement from “1947: Suite for Solo Piano and Orchestra”, is a Gershwin-esque tribute to the landscape of south Wales, where he grew up. “And the Waltz Goes On” channels [the Viennese waltzes](#) of Johann Strauss II. Sir Anthony has a gift for writing tuneful and evocative music. The villain he played might prefer Bach.

Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Friday: Which phrase does Lady Macbeth utter in Shakespeare's play as she tries to rub imaginary blood off her hands?

Thursday: Which American air-force base in Nevada is the subject of many conspiracy theories about alien visitors?

*Scars are the price you pay for
success.*

Melvin Van Peebles